

# **PAYROLL AND COMPENSATION POLICY**

How salaries are structured and paid at Acme Technologies Pvt Ltd. All amounts are in Indian rupees.

## **1. Salary structure**

The annual cost to company (CTC) is split into basic salary (40 percent of CTC), house rent allowance (50 percent of basic in metro cities and 40 percent elsewhere), a special allowance, and the employer's provident fund contribution.

## **2. Pay day**

Salary is paid on the last working day of each month. The payroll run is prepared by HR, reviewed by Finance, and approved before payment. Payslips are available in the HR system on pay day.

## **3. Statutory deductions**

Provident fund is 12 percent of basic salary from both the employee and the company. Professional tax is deducted as per the state's slabs. Income tax (TDS) is deducted every month under the regime the employee chooses, using the investment declarations submitted by 30 April.

## **4. Loss of pay and arrears**

Loss of pay days reduce the month's gross salary proportionately. Arrears from a revision or a missed allowance are paid in the next payroll run.

## **5. Salary revisions**

Salaries are reviewed once a year, effective 1 April, based on performance and market data. Off-cycle revisions need the approval of the department head and HR.

## **6. Bank details**

Salary is credited only to an account in the employee's own name. Changes to bank details take effect from the next payroll run and need HR to verify them.